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Co-operative Kenya HY'25 Earnings Note

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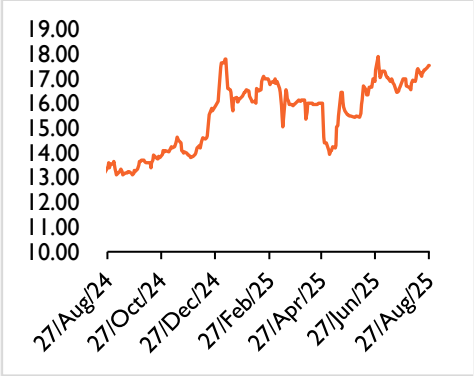


Co-operative Bank HY'25 Earnings Note

August 28th , 2025

Ticker Information	
NSE Code:	COOP
Issued Shares (Bn):	5.87
52-week high:	KES 18.35
52-week low:	KES 10.10

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	5.41%	25.71%	13.31%	30.48%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 17.65**	**KES 21.10**

Summary

- **Co-operative Bank sustained a solid growth trajectory in the first half of 2025, with net profit rising by 8.4% y/y to KES 14.1Bn from KES 13.0Bn in HY 2024.** The performance was underpinned by a strong rebound in net interest income increasing by 23.1% y/y, which outpaced growth in operating costs and lifted operating income by 10.8%y/y to KES 43.49Bn. Net Interest Margins (NIMs) benefitted from improved yields on interest-earning assets amid a disciplined cost of funds strategy, while the cost-to-income ratio strengthened to 44.9%y/y, underscoring enhanced operational efficiency.

Key Highlights

- **Solid Core Banking Performance:** Co-operative Bank's lending engine remained resilient in H1 2025, with Net Interest Income rising 23.1% y/y to KES 29.38 Bn from KES 23.86 Bn, driven by both expanding loan book and enhanced returns on government securities The credit book also held steady as net loans and advances grew 4.2%y/y to KES 391.26 Bn, while customer deposits climbed 7.95%y/y to KES 547.72 Bn, reinforcing funding strength.
- **Non- Interest Income Pressure**: On the flipside, Non-Interest Income (NII) slipped 8.2%y/y to KES 14.11 Bn, weighed down notably by a 41.6% drop in FX trading income to KES 1.55 Bn, as the shilling's relative stability compressed trading opportunities and margin potential. Still, service-based revenue lines like fees provided a stabilizing buffer.
- **Asset Quality:** Asset quality came under strain, with gross non-performing loans (NPLs) climbing 9.7% y/y to KES 76.29 Bn, up from KES 69.55 Bn in H1 2024. In response, the bank strengthened its defenses by raising loan loss reserves to KES 45.21 Bn, effectively shielding the balance sheet. Once collateral is factored in, net NPLs stand at a negative KES 1.26 Bn underscoring robust capital buffers. The deterioration reflects broader sector-wide pressures, particularly in vulnerable and volatile segments where borrower stress persists. Nonetheless, the bank's proactive provisioning marked by a meaningful uplift in reserves highlights resilience and places it ahead of many peers in terms of balance sheet protection.

Balance Sheet Dynamics

Co-operative Bank registered healthy balance sheet growth, with total assets expanding by 13.2% y/y to KES 811.91 Bn in H1'2025, up from KES 716.93 Bn a year earlier. On the asset side, net loans rose by 4.2% y/y to KES 391.26 Bn, reflecting measured credit growth amid a cautious operating environment. The loan-to-deposit ratio (LDR) eased to 71.4% in H1'2025 from 74.0% in H1'2024, underscoring a conservative liquidity stance and providing ample headroom for incremental lending once credit demand improves. Notably, retail and corporate segments accounted for the largest portions of the loan book at 49.2% and 25.4%, respectively. Total liabilities stood at KES 655.60 Bn, driven primarily by stronger customer funding as deposits expanded by 7.9% y/y to KES 547.72 Bn, underscoring continued customer trust and franchise depth. Key to note, retail and institutional banking contributed 25.7% and 21.4% of the lender's liability portfolio, respectively.

Declining Efficiency

Co-operative Bank's efficiency weakened, with the cost-to-income ratio rising to 44.9% in H1'2025 from 44.1% in H1'2024, as operating expenses grew at a faster pace than income. Nonetheless, the bank enhanced resource utilization with the cost-to-assets ratio improving slightly to 2.4% from 2.5%, reflecting stronger balance sheet productivity. Net interest income grew a robust 23.1%, cushioning profitability, although higher loan loss provisions added pressure on operating efficiency.

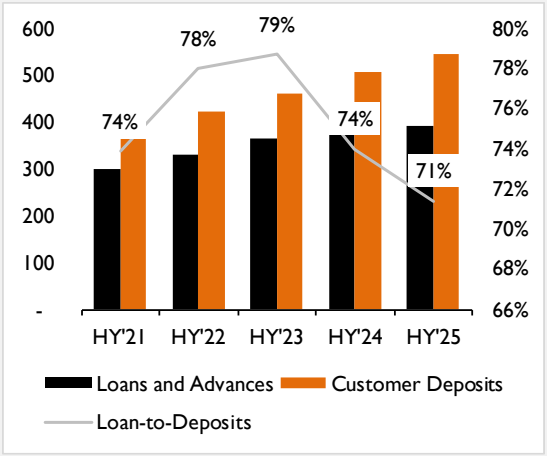
Outlook

We expect Co-operative Bank to sustain its growth trajectory through 2025, supported by resilient core earnings and robust deposit mobilization. Technology-led investments continue to steer clients toward alternative channels, enhancing efficiency and non-funded income, while new branches reinforce deposit collection and strengthen brand presence. Growth will also be supplemented by the expansion of subsidiaries and the bancassurance unit, diversifying income streams. Although elevated loan-loss provisions highlight a challenging credit environment, Co-op's disciplined cost management, strong capital buffers, and cooperative model position it to defend margins and deliver consistent earnings growth.

Recommendation

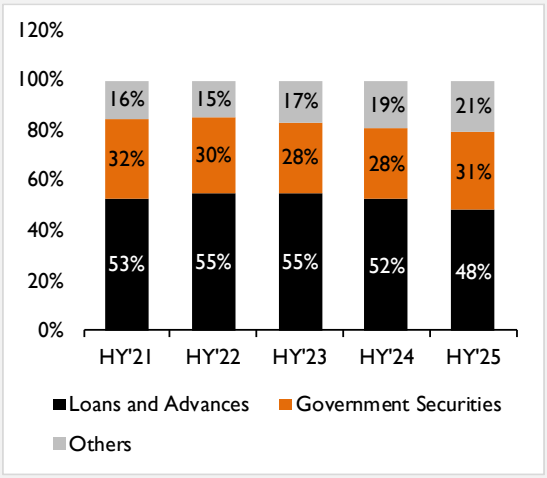
- **We maintain our *BUY* recommendation on Cooperative Bank driven by a strong core business and expansion across its various business lines.** At the current market price, the stock is trading at P/E ratio of 4.0x and a P/B ratio of 0.7x. Our one-year target price for Cooperative currently stands at KES 21.10 - representing a c. 19.6% upside potential from current levels.

Chart 2: Asset Composition



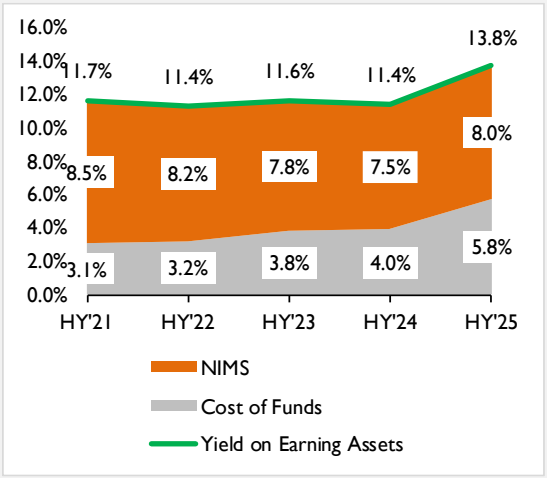
Source: Company filings, AIB-AXYS Research.

Chart 3: Growing Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Resilient Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Net Interest Income	18.83	21.06	21.55	23.86	29.38	▲ 23.1%
Net non-Interest Income	10.32	13.30	13.82	15.37	14.11	▼ (8.2%)
Total Operating income	29.16	34.35	35.37	39.23	43.49	▲ 10.8%
Provision for Impairment	(4.16)	(3.34)	(2.86)	(3.00)	(4.52)	▲ 50.5%
Total Operating expenses	(18.70)	(19.16)	(19.14)	(21.27)	(24.04)	▲ 13.0%
Profit before tax	10.52	15.28	16.41	18.16	19.66	▲ 8.3%
Profit after tax	7.37	11.47	12.14	12.99	14.08	▲ 8.4%
Annualized EPS	2.51	3.91	4.14	4.43	4.80	▲ 8.4%

Balance Sheet (KES Bn)	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Government Securities	181.95	183.20	188.46	202.23	253.73	▲ 25.5%
Loans and Advances	301.19	330.06	365.39	375.63	391.26	▲ 4.2%
Total Assets	573.01	603.92	664.95	716.93	811.91	▲ 13.2%
Customer Deposits	407.69	423.03	463.87	507.39	547.72	▲ 7.9%
Total Liabilities	480.41	506.93	556.38	589.80	655.60	▲ 11.2%
Shareholder's Funds	92.62	96.73	108.28	126.70	156.33	▲ 23.4%

Ratio Analysis	HY'21	HY'22	HY'23	HY'24	HY'25	% y/y change
Spreads Analysis						
Yield on Assets	11.7%	11.4%	11.6%	11.4%	13.8%	▲ 2.3%
Cost of Funds	3.1%	3.2%	3.8%	4.0%	5.8%	▲ 1.8%
Net Interest Margin	8.5%	8.2%	7.8%	7.5%	8.0%	▲ 0.5%
ROaE	12.5%	21.8%	22.2%	19.5%	9.9%	▼ (9.5%)
ROaA	2.0%	3.5%	3.6%	3.3%	1.8%	▼ (1.5%)
Profit Margin	25.3%	33.4%	34.3%	33.1%	32.4%	▼ (0.7%)
Operating Efficiency						
Cost to Income Less LLP	49.9%	46.0%	46.0%	46.6%	44.9%	▼ (1.7%)
Cost to Assets Less LLP	2.5%	2.6%	2.4%	2.5%	2.4%	▼ (0.1%)
Loan to Deposit Ratio	73.9%	78.0%	78.8%	74.0%	71.4%	▼ (2.6%)
Asset Quality						
Gross NPL Ratio	15.6%	14.3%	14.8%	16.9%	17.5%	▲ 0.6%
NPL Coverage	63.5%	65.8%	60.7%	59.5%	65.8%	▲ 6.3%
Cost of Risk	1.4%	1.0%	0.8%	0.8%	1.2%	▲ 0.4%
Capital Adequacy						
Core Capital/TRWA	15.3%	15.5%	16.5%	18.1%	18.8%	▲ 0.7%
Total Capital /TRWA	17.0%	16.6%	20.5%	21.3%	21.3%	-
Liquidity	55.7%	44.5%	52.3%	54.0%	66.7%	▲ 12.7%



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